

Seminar 11 — AI/Automation Cases

IR227 Politics of Change — TA slides

July 2026

What you'll do in 90 minutes

[Bridge to seminar] *Take your assigned AI/automation case. Apply the Lecture 8 mechanisms typology, Acemoglu-Restrepo displacement-reinstatement framework, and Lecture 9 just-transition and coalition-building. Reach a verdict. Close with a cross-transition-synthesis reflection.*

- Six cases, three pairs.
- Each group: 3–4 students, one case.
- Framework application, verdict, cross-transition reflection, plenary.

Three methodological points up front

1. AI is governance and labour-market simultaneously. Both registers matter. (Farrell 2025)
2. Distributional effects matter more than aggregate effects. Just-transition framework applies. (Acemoglu and Restrepo 2020)
3. Polycrisis-synthesis reflection is the seminar's payoff and the bridge to Lecture 12.

Six cases, three pairs

Pair archetype	Case A	Case B
Frontier AI governance	EU AI Act	US AI governance
AI labour-market effects	Brazil automation	South Korea AI workforce
Social protection responses	Nordic ALMP	UBI experiments

Within each pair: same archetype, different design responses, different coalition dynamics.

Recap: Lecture 8 mechanisms applied to AI

Framework: Drift, conversion, layering for AI governance

EU AI Act. Layering on GDPR, DSA, DMA.

US sectoral. Drift (existing rules applied without modification) + conversion (existing rules redirected by enforcement) + layering (state-level laws on top of federal baseline).

China state-directed. Layering on state-led digital architecture from Lecture 8.

Recap: displacement-reinstatement framework

Framework: Acemoglu-Restrepo's frame

Displacement. Automation destroys some jobs and tasks.

Reinstatement. Automation creates new tasks and industries.

Net effect. Depends on relative pace, technology, institutional context.

Aggregate vs distributional. Distributional matters more for governance. (Acemoglu and Restrepo 2020)

Recap: just-transition + coalition-building

- AI/automation distributional dynamics resemble climate just-transition.
- Concentrated losers, diffuse winners.
- Asset revaluation logic applies (Lecture 9 Colgan).
- Commitment-problem framework applies (Lecture 5).
- Pro-worker AI as coalition-building strategy (Lecture 9 Meckling). Acemoglu, Autor, and Johnson. (Acemoglu, Autor, et al. 2026)

Worked example: EU AI Act — layering + Brussels-effect

- **Rule.** Regulation (EU) 2024/1689; EIF 1 Aug 2024. Phased: prohibitions 2 Feb 2025; GPAI 2 Aug 2025; high-risk 2 Aug 2026; annex III 2 Aug 2027.
- **Mechanism.** Layering on GDPR (2018), DSA (2024), DMA (2024). Each tier added without dismantling prior instruments.
- **Brussels-effect (5 conditions).** Market size yes; capacity yes (AI Office in DG CNECT); political will yes; inelastic targets partial (foundation models global); non-divisibility partial.
- **Coalitions.** Pro: smaller EU AI firms, digital-rights NGOs, member states with regulatory tradition. Anti / pro-flexibility: large foreign foundation-model providers, competitiveness-concerned member states.
- **Verdict.** Architecture in place; substantive enforcement after 2026; effectiveness depends on AI Office capacity. (Comunale and Manera 2024)

Worked example: South Korea — aging-driven + chaebol-led AI

- **Demographic pressure.** TFR 0.72 (2023; lowest OECD). Aging accelerates capital-labour substitution. (Acemoglu and Restrepo 2022)
- **Robot density.** 19.7 per thousand industrial workers (IFR 2014; highest in cross-country sample). Sectoral concentration: electronics, automotive.
- **State-led integration.** K-Digital New Deal (2020–); K-Digital Training. Chaebol AI investment (Samsung, SK Hynix, LG).
- **Pro-worker AI question.** Acemoglu, Autor, and Johnson: tax structure and industrial policy favour capital over labour; redirection would require structural reforms. (Acemoglu, Autor, et al. 2026)
- **Verdict.** Rapid institutional change; distributional effects significant, underdocumented.
- **Cross-transition.** Demographic (Lecture 10 aging-and-automation); migration (E-9 quota 165,000 for 2024); welfare-state.

Worked example: Nordic ALMP — welfare-state-typology fit

- **Denmark flexicurity.** High benefits + high mobility + ALMP. ALMP spending ~2% of GDP (OECD high).
- **Sweden Trygghetsråd.** Employer-funded transition support. TRR (white-collar, 1973–74) + TSL (blue-collar, 2004). Negotiated by social partners.
- **Finland.** Public-sector retraining; recent emphasis on AI-related upskilling tracks.
- **Welfare-state typology (Lecture 6).** Social-democratic regime has institutional capacity for ALMP that Bismarckian / liberal regimes lack. Diffusion attempts (UK, Korea) show mixed institutional-fit results.
- **AI-era pressure.** Faster displacement pace tests adaptive capacity.
- **Verdict.** Works better than passive UI; politically expensive; AI pressures stress the model. Contrast with UBI (Parijs's normative + Banerjee's empirical) as alternative response. (Banerjee et al. 2019; Parijs 2004)

Phase 1 — framework application (25 min)

Apply the relevant frameworks:

1. Lecture 8 mechanism: drift, conversion, layering, etc.
2. Acemoglu-Restrepo displacement-reinstatement.
3. Lecture 9 just-transition and coalition-building.
4. Identify coalitions (specifying actors and interests).

Output: framework application + coalition analysis.

Phase 2 — verdict (15 min)

1. Reach a verdict: succeeding / partially succeeding / contested / stalled.
2. Identify the binding constraint.
3. Walk from the framework analysis to the verdict.

Phase 3 — drafting + cross-transition reflection (15 min)

Case: The diagnostic memo

- One paragraph: framework-and-verdict memo.
- Two-to-three sentences: cross-transition-synthesis reflection identifying at least two cross-transition interactions.

Be specific. Name the mechanism, the actor, the outcome.

Phase 4 — plenary (25 min)

Within each pair: one group presents the framework analysis + verdict. The other group adds the contrasting point.

- Frontier AI governance: EU vs. US. Same technology, different paradigms.
- Labour-market effects: Brazil vs. South Korea. Different middle-income vs aging-economy dynamics.
- Social protection: Nordic ALMP vs. UBI. Different responses to similar AI-era pressures.

Then: cross-cutting reflection on cross-transition synthesis (Lecture 12 setup).

Three things to take away

1. AI is governance and labour-market simultaneously. Both registers matter.
2. Cross-transition intersections are pervasive. AI affects climate, demographic, migration, welfare-state.
3. Distributional consequences are the recurring binding constraint.
Coalition-building and commitment-problem design are the strategic responses (Acemoglu, Autor, and Johnson on pro-worker AI). (Acemoglu, Autor, et al. 2026)

Tomorrow: closing synthesis — how to think about and govern multiple interacting transformations.

- Acemoglu, D., D. Autor, and S. Johnson (Feb. 2026). **Building Pro-Worker Artificial Intelligence**. Working Paper 34854. National Bureau of Economic Research.
- Acemoglu, D. and P. Restrepo (2020). **“Robots and Jobs: Evidence from US Labor Markets”**. In: *Journal of Political Economy* 128.6, pp. 2188–2244.
- (2022). **“Demographics and Automation”**. eng. In: *The Review of economic studies* 89.1 (324), pp. 1–44.
- Banerjee, A., P. Niehaus, and T. Suri (2019). **“Universal Basic Income in the Developing World”**. In: *Annual Review of Economics* 11, pp. 959–983.
- Comunale, M. and A. Manera (Mar. 2024). **The Economic Impacts and the Regulation of AI: A Review of the Academic Literature and Policy Actions**. IMF Working Paper 2024/065. International Monetary Fund, p. 69.

- Farrell, H. (2025). **“AI as Governance”**. In: *Annual Review of Political Science* 28. Volume 28, 2025, pp. 375–392.
- Parijs, P. V. (2004). **“Basic Income: A Simple and Powerful Idea for the Twenty-First Century”**. In: *Politics & Society* 32.1, pp. 7–39.